الطالب الأكاديمي
THE ACADEMIC STUDENT

Faculty of Business Studies

ECO101
Principles of Economics

Mid Term Examination / Form B
2025-2026 / Spring

20 – April – 2026

Number of Exam Pages: 3 ncluding this cover sheet)	**Time Allowed:** **1.5 hours**

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF"** mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during th examination
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Polic

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Answer the following FOUR questions:

Question One (6 marks)

Select the correct answer and write it in the Answer Book. (*1 mark for each question*).

1. The basic economic problem arises because:
   A) Human wants are limited
   B) Resources are scarce
   C) Governments control markets
   D) Prices are too high

2. Marginal benefit refers to:
   A) The total gain from an activity
   B) The additional gain from doing a little more of something
   C) The lowest cost of producing a good
   D) The average utility from consumption

3. Which of the following best describes opportunity cost?
   A) The total money spent on a product
   B) The value of the next best alternative given up
   C) The price paid for a good
   D) The profit earned by a firm

4. According to the law of demand, when the price of a good decreases (other factors constant):
   A) Quantity demanded increases
   B) Quantity supplied decreases
   C) Demand decreases
   D) Quantity demanded decreases

5. Which of the following is a **microeconomic** question?
   A) Why does inflation increase over time?
   B) What causes economic growth in a country?
   C) How does an increase in rent affect housing demand?
   D) Why does unemployment rise during recessions?

6. When income rises and people buy more pizza, pizza is considered:
   A) An inferior good
   B) A normal good
   C) A complement
   D) A substitute

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QUESTION TWO: (8 marks)

2A. Provide the economic definition of supply *(4 marks)*

2B. Briefly discuss how the state of nature (e.g., weather conditions) can affect supply. Provide a clear example? *(4 marks)*

QUESTION THREE: (8 MARKS)

3A. Explain the difference between a change in quantity demanded and a change in demand. *(4 marks)*

3B. Draw a fully labelled diagram to illustrate the effect of an increase in consumers' income on the market for a normal good. *(4 marks)*

QUESTION FOUR: (8 MARKS)

4A. List FOUR of the main factors that can cause the supply of a good to change. *(4 marks)*

4B. Suppose the price of labor used in producing bread increases. Explain how this change affects the supply of bread. Support your answer using a clearly labeled diagram. *(4 marks)*

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END OF QUESTIONS

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